

Budget Analysis 2020
Infrastructure

Group A

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Objective

Focusing on the **<u>infrastructural</u>** sector of Budget-2020



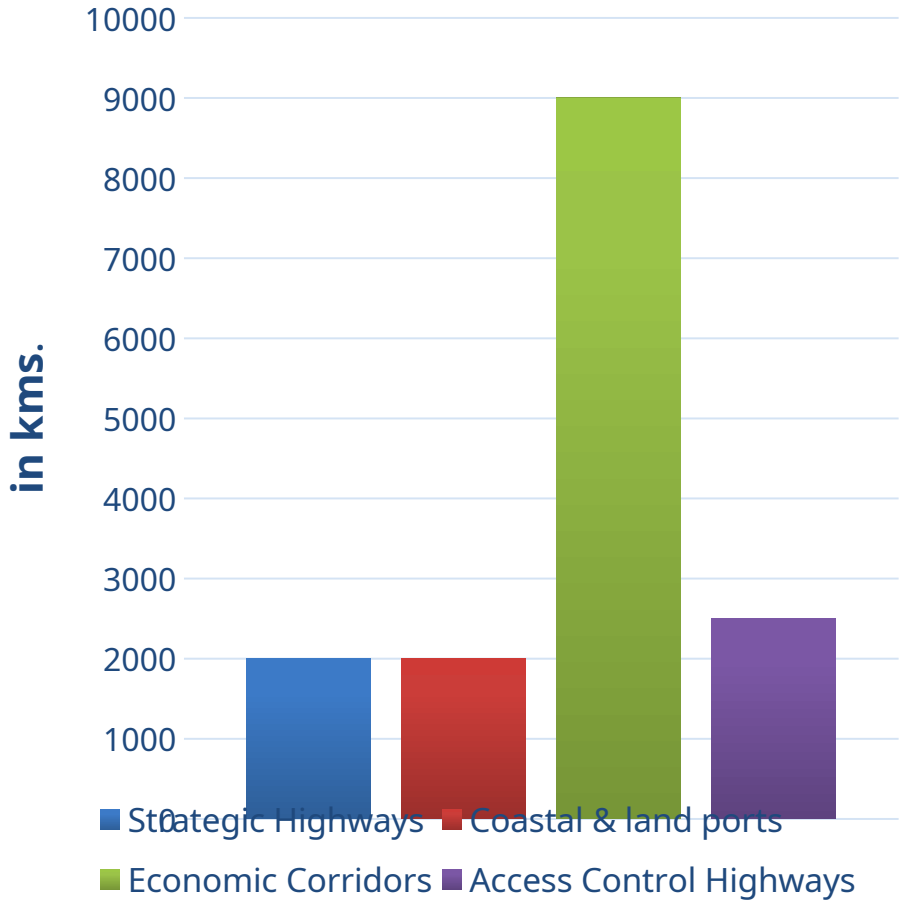


Importance

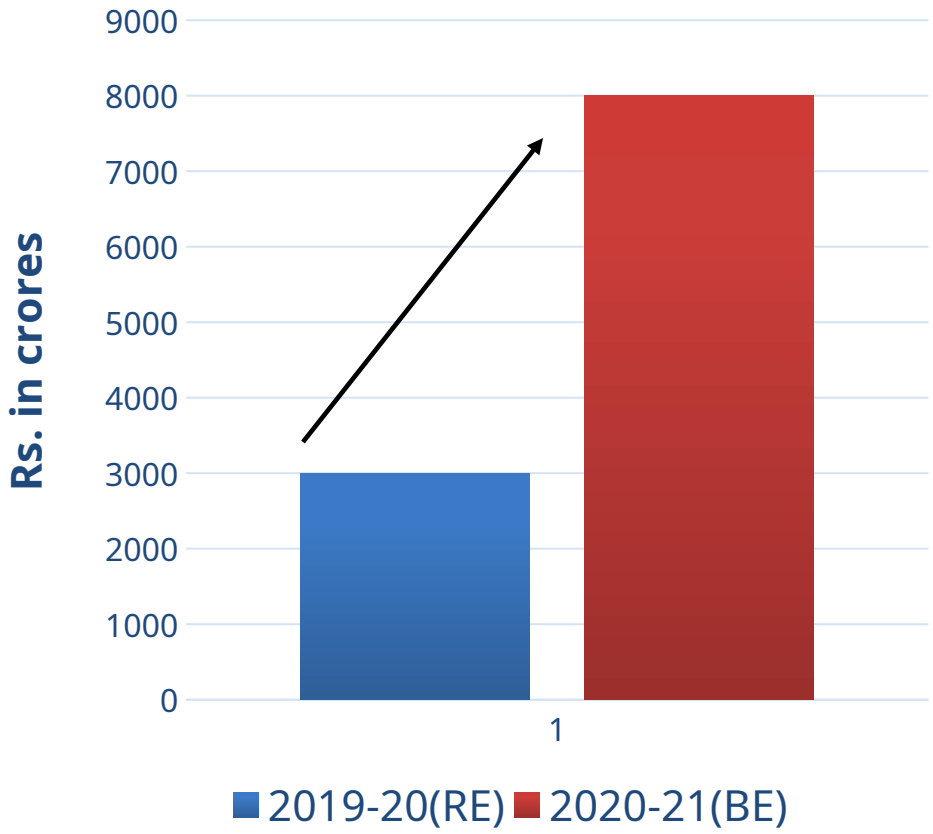
- *Alleviation of Poverty*
- *Reduction in Income inequality*
- *Employment opportunities*
- *Prosperity in rural areas*
- *Promotes foreign trade*

Schemes

- Accelerated road development



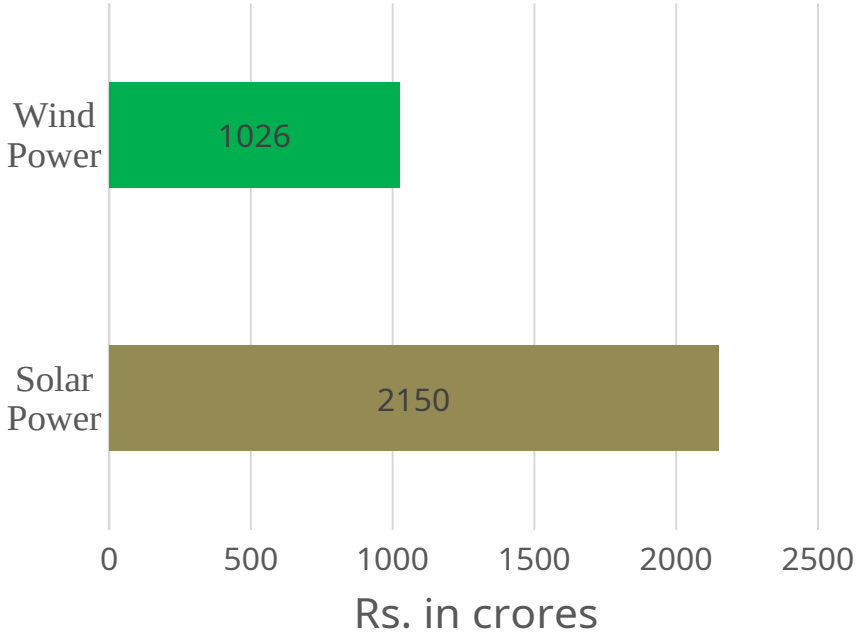
- Bharat Net



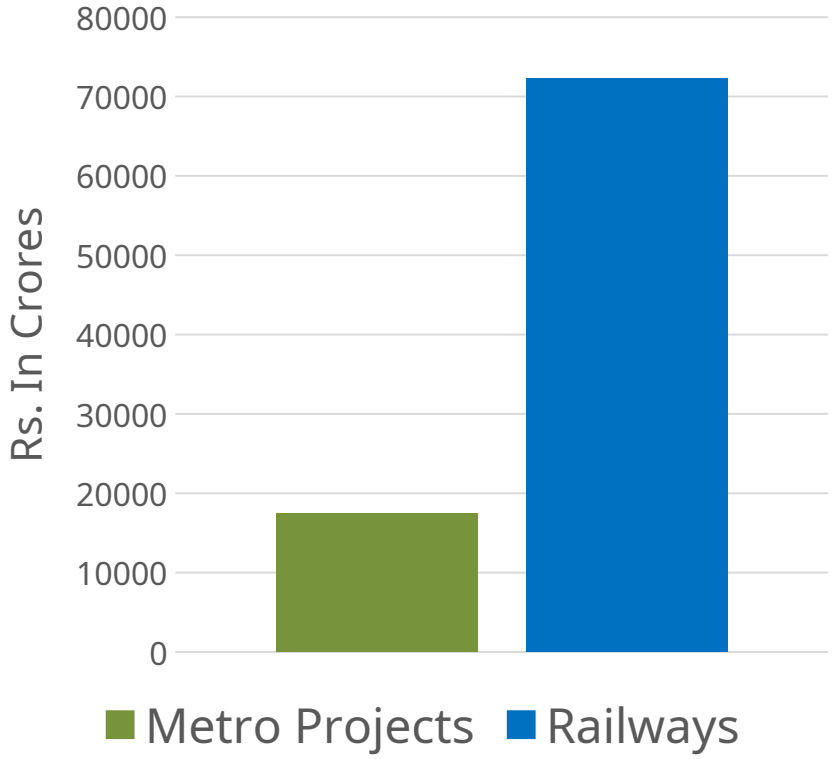
*Source: Data- https://www.indiabudget.gov.in/

Schemes

- Power supply



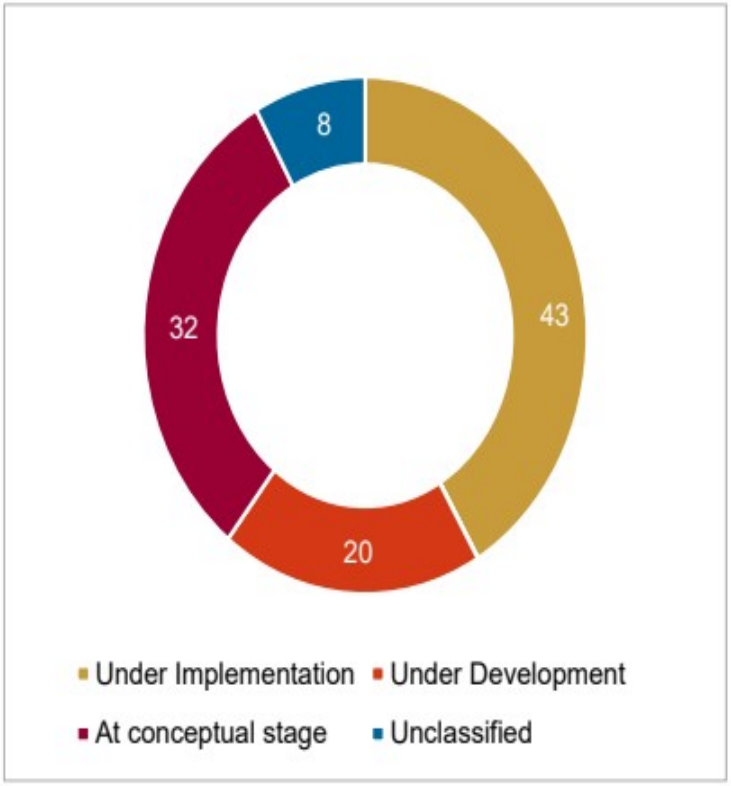
- Metro Projects & Railways



*Source: Data- The Economic Times(2/2/20)

Schemes: An Overview on NIP

Status of projects (Rs lakh crore)



^ *Excludes the power sector and some states with phasing not provided*

Under implementation projects

- Rs 42 lakh crore projects in the implementation stage
- These include expressways, national gas grid and PMAY-G

Under development projects

- Rs 19 lakh crore projects in the development stage
- These include urban, roads, and renewable energy
- Key projects include those in renewable energy under the 175 GW by 2022 mission

Conceptual stage projects

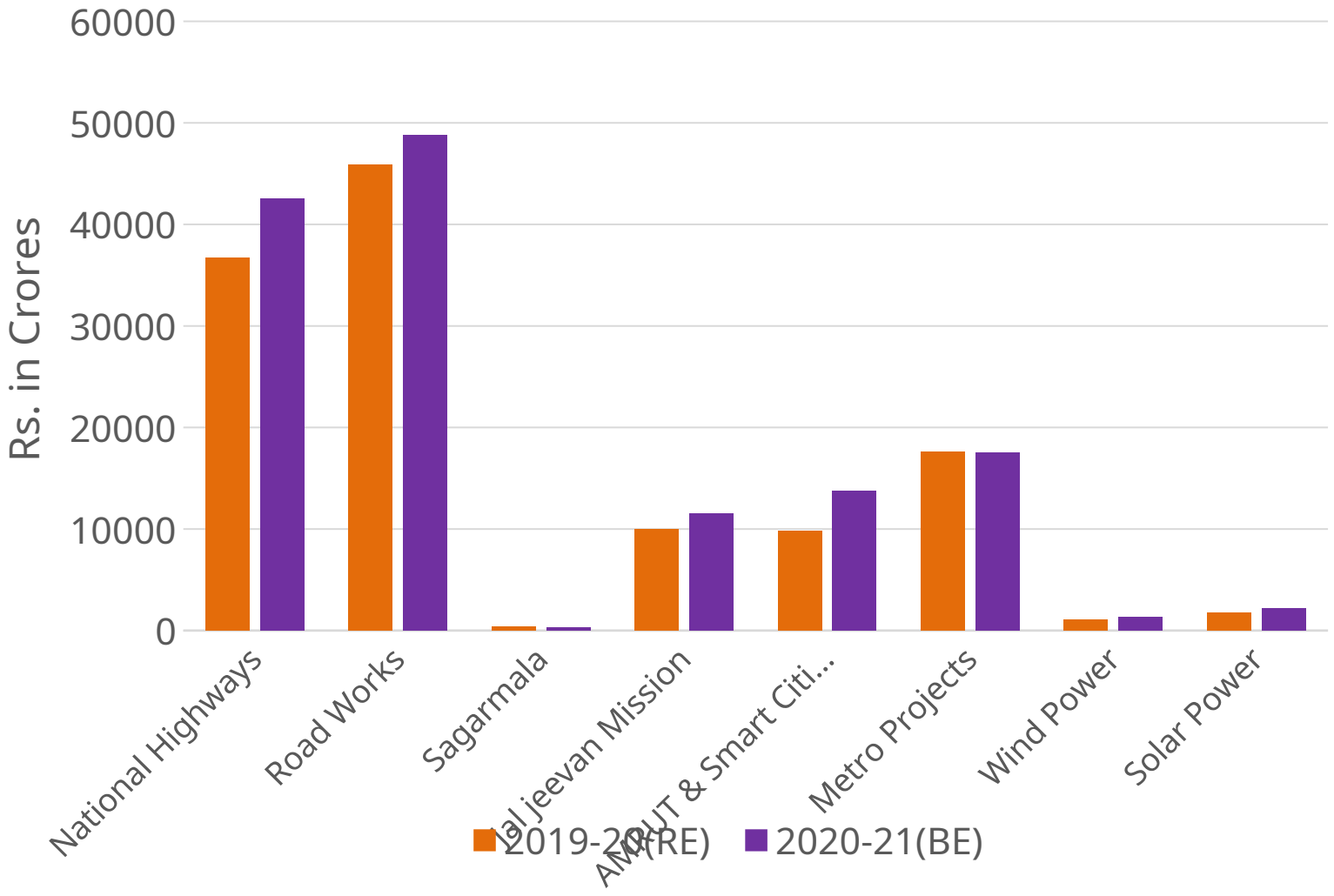
- Rs 33 lakh crore projects in the conceptual stage
- Key projects include in renewable energy beyond 2022 and for river interlinking

Unclassified projects

- Rs 8 lakh crore projects are in the unclassified category
- Key sector is power

*Source: DEA IPF NIP Report

Comparison between RE(2019-20) & BE(2020-21)



*Source: Data- The Economic Times(2/2/20)

Conclusion:

Will it have the desired effect ?

- *Government's infra push critically dependent on private sector participation*
- *Monetisation of 12 lots of bundles of highways needs to be effectively reducing NHAI's debt burden*
- *Railways being made amenable to private investment*
- *Development of new airports expected to ease the strain on existing airports*

Conclusion:

Will it have the desired effect ?

- *Corporatization of at least one major port may improve operational efficiency*
- *NIP may boost investments in the infra sector, but mammoth size poses a challenge*
- *Power generated by farmers' solar power plants a source of income for farmers*
- *National Logistics Policy requires harmonising Central and State governments to succeed*